CHAPTER 5: BUSINESS FORMATION

LEARNING OUTCOMES

1. Explain the types of business formation
2. Elaborate the advantages and disadvantages of each business formation

INTRODUCTION

- Every entrepreneur wants a smooth start of a new venture.
- There are many ways on how to start a business.
- Most common methods are to start from scratch, to buy an existing business, to be successor of a family business and to acquire a franchise.

How To Form A Business?

1. Start from scratch
2. Buy an existing business
3. Family business
4. Acquire a franchise

STARTS FROM SCRATCH

- Allows an entrepreneur to choose the preferred form of business.
- Decide to name his business, envision its product image, strategic location.
- May offer a unique innovation to the existing products or services that are already available in the market.
- Requires substantial efforts to acquire business knowledge, skills and experience to ensure the ability to grow and sustain in the marketplace.

STARTS FROM SCRATCH

Advantages	Disadvantages
Entrepreneurs can make their own business decisions especially in planning and implementing business strategies.	Entrepreneurs have to put their utmost efforts in terms of time, energy and money to ensure the business kick-off.
Entrepreneurs can decide on suitable business location and premise, and to acquire appropriate machines and equipment for the business.	Entrepreneurs have difficulty in estimating sales, cost and profit due to unavailability of business history since there are no references.
Entrepreneurs can develop a businessimage and personality that suits their desire and interest which would portray a good business reputation for further growth.	Entrepreneurs have to bear the risk of starting a new venture which could lead to higher chances of losses due to high project implementation cost.

BUY EXISTING BUSINESS

- Own a business is by taking over an existing business either by buying the whole business or part of the business.
- Need to do due diligence - reviewing process of all available information related to the business that the entrepreneur is interested in purchasing –
- Main purposes of due diligence: to verify the information provided by the seller and to uncover any relevant information that the seller has not provided, either intentionally or unintentionally.

BUY EXISTING BUSINESS

Advantages	Disadvantages
Time spent in starting the business is more faster.	Bigger capital is required when buying whole business or part of the business.
Chances of securing financing is better as existing business has already some track record.	The new owner is required to put extra efforts, money and time if the business is not well-managed.
The business has its own existing market and customers.	Entrepreneurs have to follow and fulfil terms and conditions with third parties made by existing owner.
Relationship with stakeholders has already existed.	Conflicts may occur between existing employees and the new owner.

FAMILY BUSINESS SUCCESSION

- When you become successors of the businesses which were started by their predecessors.
- Business owned by at least two generations of a family.

FAMILY BUSINESS SUCCESSION

Advantages	Disadvantages
Freedom and flexibility in decision making.	Unstructured early-stage business organisation.
Pride of family culture, high commitment and motivation lead to business stability.	Family conflicts such as siblings and/or cousins rivalry.
Family members' willingness to "sacrifice" their time and money.	Difficulty in getting the right successor.
High possibility of achieving great monetary success due to high commitment.	Early-stage limited financial resources.
Family members have good exposure to the business environment.	Nepotism among family members (incompetent family member given a better management position).
	Traditions practiced could lead to resistance to change by new generation.

ACQUIRE A FRANCHISE

- A franchise is a product and/ or service distribution system which is governed by a contract.
- Two parties - the franchisor and the franchisee.
- The franchisor is a business that sells the right to another party to operate the franchise.
- The franchisee is a person who purchases the right from the franchisor to operate the franchise

Franchise Payments

1. Franchise Fee
2. Royalty
3. Advertising & Promotional Contribution

ACQUIRE A FRANCHISE

Advantages	Disadvantages
To the Franchisor	
The franchisor's business expansion can be done through recruitment of new franchisees.	To ensure the conformity of the operational methods is followed by franchisees.
Benefits of economies of scales.	Different objectives could jeopardise the business relationship.
Lower business risks as business risks are shared with the franchisee.	Faces the risk of appointing the "wrong" franchisees.
Problems related to human resource management is reduced due to the fact that the franchisees have to manage the human resource related matters themselves.	Intellectual properties such as trademark, trade name, recipes, formulas, customers list are exposed.
Focus more on product research and development.	

ACQUIRE A FRANCHISE

Advantages	Disadvantages
To the Franchisee	
Lower business risks as franchisee shares the business risks with the franchisor.	Limited freedom and flexibility to manage the business according to franchisees' desire and need to comply the franchise agreement
Benefits of economies of scales.	Requires to pay franchise fee, royalty fee and advertising and promotional contribution (based on the percentage of monthly sales).
Guidance by the franchisor's management team.	Only allowed to market and sell franchisor's product or services.
Better market acceptance of products and/or services offered as they are established products and/or services of the franchisor.	Fear of chain-reaction of franchisor's image will affect the franchisees' business as well.

SUMMARY

- Entrepreneurs have few alternatives in owning a business. Entrepreneurs who have a great business idea may wish to start their own business from scratch.
- Entrepreneurs who are willing to immediately work very hard on a new activity and avoid some of the common start-up pitfalls, have the option to buy an existing business or a franchise.
- Decision to start a business venture needs to be carefully thought as it involves a lot of effort, resources and money.



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